

Freelance Agency

Financial Health Scorecard

Four metrics that tell you whether your agency is building long-term value or just trading time for money. Formulas, benchmarks, and a self-assessment framework.

Metric 1: Client Lifetime Value (LTV)

How much total profit a client will generate over the entire relationship.

$$\text{LTV} = \text{Avg Monthly Revenue} \times \text{Est. Remaining Months} \times \text{Profit Margin}$$

Example: Client pays \$3,000/month, estimated 12 months remaining, 40% profit margin. $\text{LTV} = \$3,000 \times 12 \times 0.40 = \$14,400$.

What to do: Rank clients by LTV, not monthly revenue. Invest retention effort in high-LTV clients. Let low-LTV, high-churn clients go.

Metric	Your Number	Benchmark
Avg Client Monthly Revenue	\$ _____	Varies
Avg Client Lifespan (months)	_____	12-24 months
Avg Profit Margin	_____ %	30-50%
Avg Client LTV	\$ _____	> 3x monthly rev

Metric 2: Days Sales Outstanding (DSO)

How long it takes to collect payment after invoicing.

$$\text{DSO} = (\text{Accounts Receivable} / \text{Total Revenue}) \times \text{Number of Days}$$

Example: \$8,000 outstanding AR, \$24,000 revenue over 30 days. $\text{DSO} = (\$8,000 / \$24,000) \times 30 = 10$ days.

Target: Under 35 days for freelance agencies. Over 45 days indicates a collection process problem, not a revenue problem.

DSO Range	Assessment	Action
Under 20 days	Excellent	Maintain current terms

DSO Range	Assessment	Action
20-35 days	Healthy	Monitor monthly
36-45 days	At risk	Review payment terms
Over 45 days	Problem	Enforce terms, add late fees

Metric 3: Utilization Rate

Percentage of working hours that are billable.

$$\text{Utilization} = \text{Billable Hours} / \text{Total Hours Worked}$$

Example: 30 billable hours out of 45 total hours = 66.7% utilization.

Target: 65-75% for solo freelancers. Below 60% means too much time on admin. Above 80% means no capacity for growth or recovery.

Utilization	Assessment	Implication
Below 50%	Underperforming	Revenue insufficient for hours worked
50-64%	Below target	Reduce admin overhead or raise rates
65-75%	Healthy	Sustainable pace with growth capacity
76-85%	High	Limited buffer — risk of burnout
Above 85%	Unsustainable	No room for BD, admin, or recovery

Metric 4: Break-Even Revenue

The monthly revenue where total income equals total costs.

$$\text{Break-Even} = \text{Fixed Costs} / (1 - \text{Variable Cost \%})$$

Example: Monthly fixed costs: \$4,500 (software, office, insurance, base draw). Variable costs: 20% of revenue (subcontractors, project tools). Break-even = \$4,500 / (1 - 0.20) = \$5,625/month.

What to do: Know this number. Every dollar above it contributes to profit. Below it, you are subsidizing the business from savings.

Cost Category	Your Monthly Amount	Notes
Software / Subscriptions	\$ _____	Fixed
Office / Coworking	\$ _____	Fixed
Insurance	\$ _____	Fixed

Cost Category	Your Monthly Amount	Notes
Owner's Base Draw	\$ _____	Fixed
Marketing / Ads	\$ _____	Fixed or variable
Subcontractor Costs	_____ % of rev	Variable
TOTAL FIXED COSTS	\$ _____	Sum of fixed above
BREAK-EVEN REVENUE	\$ _____	Fixed / (1 - Variable %)

Your Scorecard

Metric	Your Score	Target	Pass?
Client LTV	\$ _____	> 3x monthly rev	Y / N
DSO	_____ days	< 35 days	Y / N
Utilization	_____ %	65-75%	Y / N
Break-Even	\$ _____	Below current rev	Y / N

4/4 passing = financially healthy agency. Under 3/4 = prioritize the failing metric before scaling.

Get the full system: Freelance Agency Finance System — 15-Sheet Excel Workbook — \$49 one-time

hodacfo.com/freelance-finance-system | Instant delivery via Gumroad | No macros | Excel 2019+ & Google Sheets

Built by Hoda Elmorshidy, Financial Controller & Fractional CFO, 9+ years corporate finance.

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